

The long end has stopped listening to the data

US payrolls missed badly and the 10-year Treasury still closed higher. Benchmark yields are at the highs of the year in every major market while credit spreads have hardly moved. That is not a contradiction. The forces lifting long yields are not credit forces.

US 10-YEAR	FRANCE 10-YEAR	ITALY 10-YEAR	JAPAN 10-YEAR	ITRAXX AUSTRALIA	NA BANKS CDS
5.29%	4.84%	4.62%	3.05%	72	62
+18 on week	+19 on week	+11 on week	+7 on week	+3 on week	+3 on week

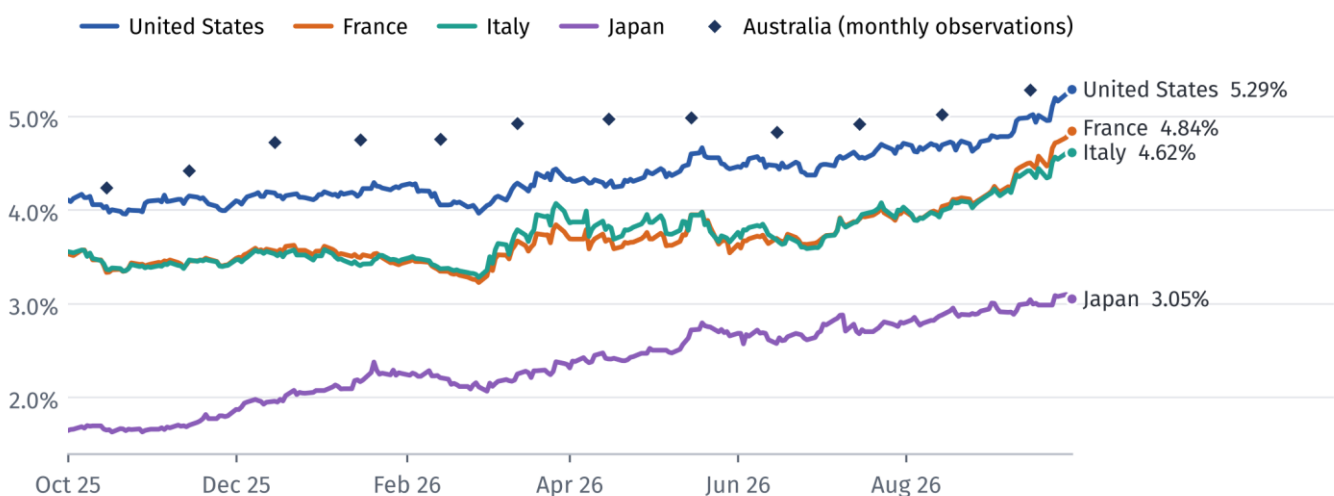
Levels at 30 September 2026 with the change over five trading days in basis points. Source Refinitiv Datastream, Arculus

THE WEEK IN FOUR POINTS

- The US 10-year closed September at 5.29%, the high of the past twelve months and 118 basis points above where it stood a year ago. It touched 5.34% on Thursday, the highest since 2002, and closed higher on Friday despite payrolls of just 29,000.
- Benchmark yields are being moved by several forces at once. The unwinding of the yen carry trade is the one we would put first, with the yen still weak against the US dollar.
- Credit is tight for a reason. A steeper curve is what a strong economy looks like, and a strong economy means lower default risk. iTraxx Australia is 5 basis points wider over a month in which the US 10-year rose 54.
- The RBA lifted the cash rate to 4.60%. 90-day BBSW closed the week at 4.75% and 180-day at 5.14%, both at the top of their range since 2014.

Every major 10-year yield is more than 100 basis points higher than a year ago

10-year government benchmark yields, daily, 1 October 2025 to 30 September 2026



Source Refinitiv Datastream, Arculus. The Commonwealth series in the data file holds one observation a month

RATES

Interest rates

United States

The 10-year Treasury rose 18 basis points in the five sessions to 30 September and 54 over the month. The selling was led by the long end. Over the full week the 30-year rose about 15 basis points against 3 for the 2-year, which finished near 4.84%.

The telling part was Friday. Payrolls rose 29,000 against 84,000 expected, unemployment lifted to 4.2%, the 10-year dipped to 5.18% and then closed higher on the day near 5.29%. A long end that sells off on a jobs miss is not trading the Fed. It is trading flows, and the largest of those is the unwinding of the yen carry trade.

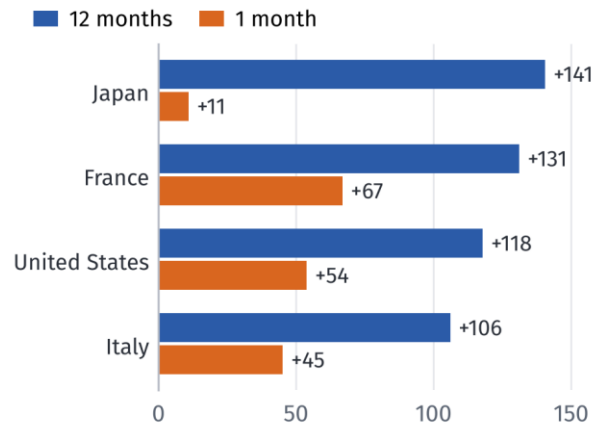
Australia

The RBA lifted the cash rate 25 basis points to 4.60% on Tuesday in a unanimous decision. August trimmed mean inflation then printed 0.2% against 0.3% expected and the curve bull steepened. Commonwealth 10-year bonds traded between 5.33% and 5.39% late in the week.

The Australian 10-year has outperformed. Its spread over the US 10-year has contracted from over 35 basis points to 10. The most likely explanation is the yen. AUD/JPY has fallen from around 115 in late August to 109.57, even as the yen stays weak against the US dollar.

Japan and France lead the selloff

Change in 10-year yield to 30 September, basis points

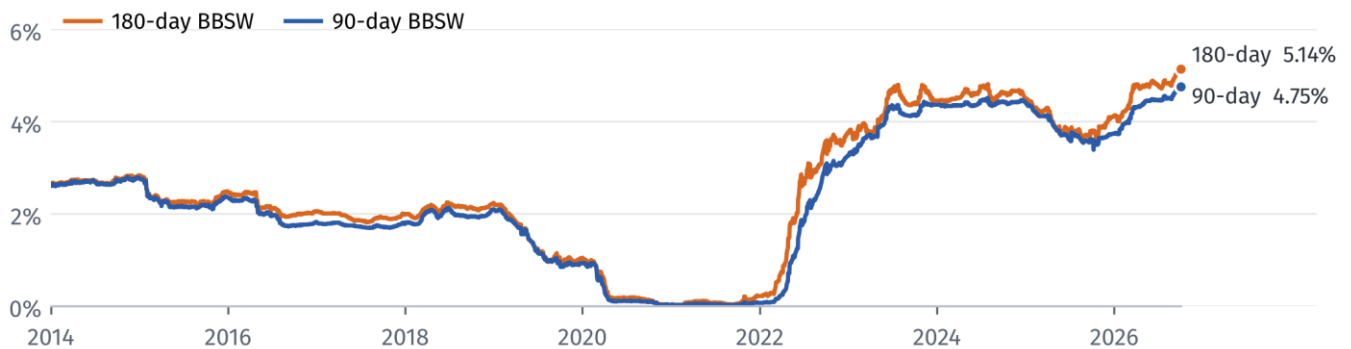


Source Refinitiv Datastream, Arculus

Forward interest indicators

Bank bill rates are at their highest since the series began in 2014

90-day and 180-day BBSW, daily



Source Arculus data file, 2 January 2014 to 2 October 2026

90-day BBSW closed the week at 4.75% and 180-day BBSW at 5.14%. Both set their highs for the period since 2014 on 29 September, at 4.77% and 5.14%. The 90-day rate is up 19 basis points over the month and 115 over twelve months.

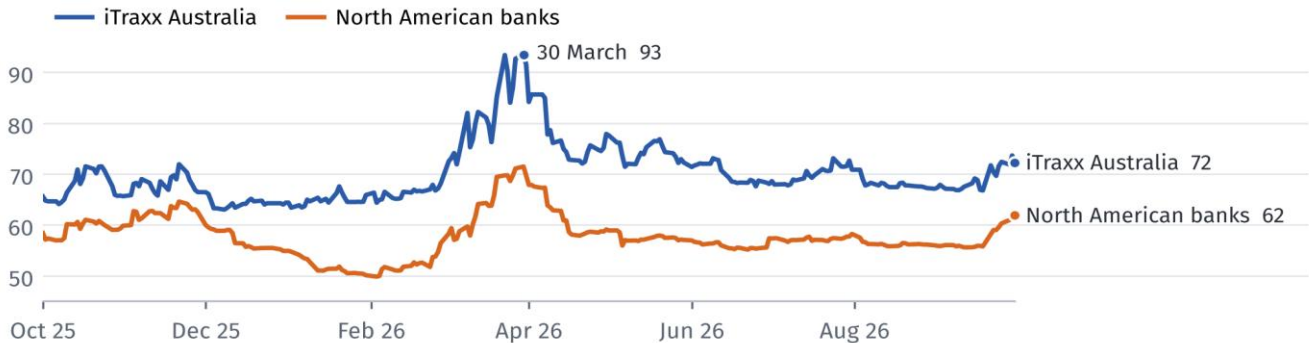
The 180-day rate sits 39 basis points above the 90-day, against 19 a year ago. That gap is the bill market pricing further RBA tightening, in line with the one and a half hikes priced at the front end.

CREDIT

Credit markets

Credit default swaps have barely moved while yields surged

Five-year CDS indices, basis points, daily, 1 October 2025 to 30 September 2026



Source Refinitiv Datastream, Arculus

Global credit

The chart makes the point. iTraxx Australia closed September at 72 basis points and the North American bank CDS index at 62. Each is only 5 to 6 wider over a month in which government yields rose 45 to 67, and both sit well inside the March peaks of 93 and 71.

Higher benchmark yields do not mean wider credit margins. The curve is steepening because the economy is strong, and a strong economy lowers default risk. The weak spots are specific. French bank paper is underperforming on country risk, and ANZ's rates desk has the US high yield index out from around 300 to 345 basis points in a week.

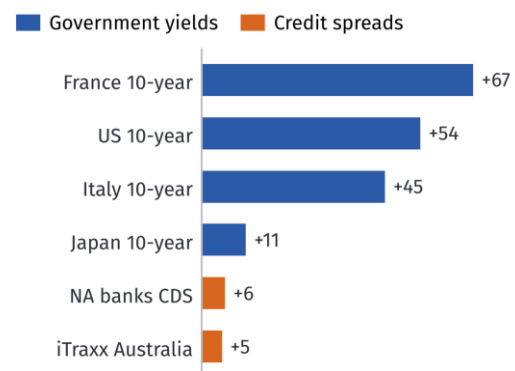
Australian dollar credit

Spreads leaked wider on thin volume. ANZ's indicative major bank five-year FRN mid closed at 69 basis points, 1.5 wider on the week. Regional banks were 2 to 3 wider and mutuals 3 to 5. Mizuho has five-year Kangaroo financials roughly 20 wider over the month.

Primary was quiet. Port of Brisbane priced A\$300 million of 7.25-year senior secured notes at 138 over and Infratil has a seven-year mandate out. The recent Macquarie 10.5NC5.5 Tier 2 is being hit wide of reoffer, a fair barometer of how little risk dealers want to carry.

Yields rose, credit margins held

Change over one month to 30 September, basis points



Source Refinitiv Datastream, Arculus

Major bank line	Margin (bp)	Week (bp)	Running yield
Senior FRN 1 year	41.5	+1.5	5.17%
Senior FRN 5 year	69	+1.5	5.44%
Tier 2 FRN 2033-28	100	+3	5.75%
Tier 2 FRN 2036-31	132	+3	6.07%
Tier 2 FRN 2041-36	162	+3	6.37%

Source ANZ Credit Trading indicative mids over BBSW at 2 October 2026, Arculus.
Running yield is 90-day BBSW of 4.75% plus margin

Bank capital and listed hybrids

Major bank Tier 2 was orderly at 3 basis points wider across the curve. Buyers are still turning up for yield, with twenty-year bullets trading above 7% and AT1 finding a bid from wealth channels on slowing volume. The average major bank hybrid margin is 1.62% against short-lived peak of 2.08% in mid-April. Subsequent to several major AT1 securities being redeemed and not replaced, AT1 has stayed firm. This should remain the case with an AUD1.16bn CBA to be repaid in late October.

Our read is that the week was about liquidity and not credit quality. Index CDS is calm, major bank senior was the most stable part of the market and the pressure sat where dealers were already long into quarter end. With benchmark yields higher and margins steady, the all-in yield on bank capital keeps improving. Where quarter-end selling has cheapened paper without any change in credit quality, we see opportunity and not a warning.

CALENDAR

Week ahead

A thinner week for data and a heavier one for central bank paperwork. The FOMC minutes on Wednesday and the ECB account on Thursday will show how much appetite there was for more than the 25 basis point hikes each delivered in September. Australia starts with a public holiday in New South Wales and takes A\$2 billion of Commonwealth bond supply across Wednesday and Friday. Regional holidays in Asia should keep credit primary subdued.

Day	Australia	United States	Europe and Japan
Monday 5 October	Labour Day holiday in New South Wales. Swaps and Commonwealth bonds do not trade, though futures are open.	ISM Services index for September. The S&P Global flash services reading rose to 58.7 from 56.5, a 59-month high. A strong print would sharpen the gap between survey strength and hiring weakness. Fed's Goolsbee speaks.	Final services and composite PMIs and Eurozone producer prices. Markets digest Sunday's OPEC+ meeting. In Japan, consumer confidence, with USD/JPY approaching 160.
Tuesday 6 October	ANZ-Roy Morgan consumer confidence, ANZ-Indeed Job Ads and Westpac consumer sentiment. A first check on how the September hike has landed.	Trade balance for August and the EIA Short-Term Energy Outlook, relevant with distillate stocks at record seasonal lows. Fed's Williams and Bowman speak.	German factory orders and Eurozone retail sales for August.
Wednesday 7 October	The AOFM tenders A\$1 billion of the November 2033 bond. A useful test of real money demand at these yields.	FOMC minutes for September, when the Fed lifted the funds rate to 3.75% to 4.00%. They predate the payrolls print, so read them for the balance of risks. Fed's Logan speaks.	German industrial production. In Japan, labour cash earnings for August, the wage input the BoJ watches most closely.
Thursday 8 October	No major domestic releases.	Initial jobless claims. The prior week was 197,000 with the four-week average at 200,000, at odds with payrolls. A move above 220,000 would start to reconcile the two.	ECB account of the September meeting and German trade balance. In Japan, the current account and the Economy Watchers survey.
Friday 9 October	The AOFM tenders A\$1 billion of the October 2036 bond.	Preliminary University of Michigan consumer sentiment for October. Canada's September jobs report follows a fall of 41,700 in August.	S&P is scheduled to review the UK sovereign rating. French budget negotiations remain the live risk. In Japan, household spending.

Further out, the Q3 CPI late in October is the release that decides the RBA's November meeting. ANZ Research expects trimmed mean inflation of 1.0% for the quarter.

THE VIEW

Macro

The most important piece of information last week was not a data release. It was the reaction to one. On Friday the US reported 29,000 new jobs against 84,000 expected, revised the prior two months down by a combined 60,000 and lifted the unemployment rate to 4.2%. The implied probability of an October Fed hike collapsed from about 70% to 14%. The 10-year Treasury rallied to 5.18% and then finished the day higher than it started.

Good news is bad news, and so is bad news

A bond market that sells off on strong data is worried about the Fed. A bond market that sells off on weak data is being moved by something else.

US session	What the data said	What the 10-year did
Wednesday 30 September	Core PCE 0.2% against 0.3% expected. Q2 GDP revised up to 2.2%	Rose to 5.29%, the closing high of the year
Thursday 1 October	ISM manufacturing 54.5 with prices paid at 77.9. Jobless claims 197,000	Hit 5.34%, the highest since 2002, then closed lower near 5.24%
Friday 2 October	Payrolls 29,000 against 84,000 expected. Unemployment 4.2%	Fell to 5.18%, then closed higher near 5.29%

Source ANZ Research, US Bureau of Labor Statistics, Refinitiv Datastream, Arculus

What is moving benchmark yields

Benchmark fixed yield curves are being moved by a range of simultaneous factors, and it is a mistake to read the result as a single signal. The first is the unwinding of the yen carry trade. The 10-year JGB yield has risen from 1.65% to 3.05% in twelve months, the largest move of any market we track, and money that was borrowed in yen to own foreign bonds is going home. The yen is still weak against the US dollar, with USD/JPY approaching 160, so the pressure on Treasuries has not eased.

The yen has strengthened against the Australian dollar and the euro. AUD/JPY closed the week at 109.57, down from around 115 in late August, and EUR/JPY at 177.71, down from around 186. Both sit below their 50-day and 200-day averages. That has taken a little pressure off those 10-year yields, and it is the most likely explanation for the Australian 10-year spread over the US 10-year contracting from over 35 basis points to 10. Add soft Treasury auctions, a French budget the market does not believe and an oil market with no inventory buffer, and you have a long end that can sell off on a weak payrolls number.

Why credit margins have not followed

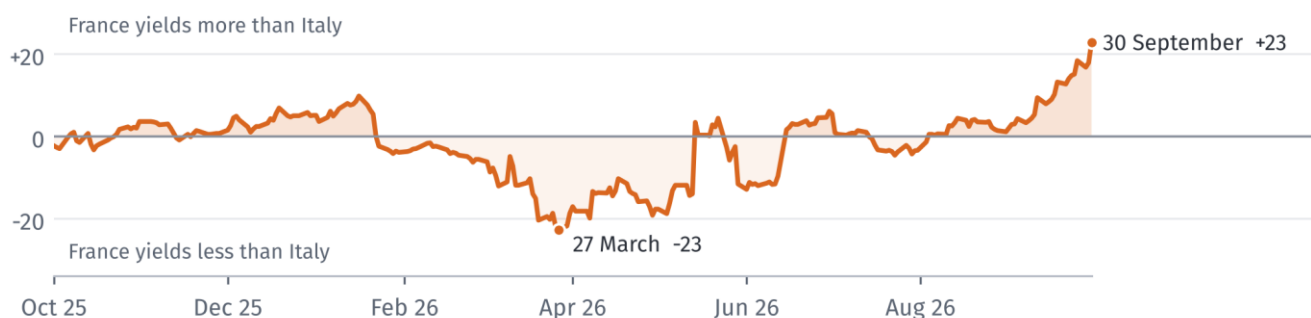
Higher benchmark yields do not imply wider credit margins. A steeper yield curve occurs when the economy is strong, and a strong economy means lower default risk and so tighter credit margins. The US data fits. ISM manufacturing is at 54.5, Q2 GDP was revised up to 2.2%, jobless claims are around post-pandemic lows and the flash services PMI is at a 59-month high. Friday's payrolls were the exception and not the pattern.

The credit indices agree. Over the month to 30 September government yields rose between 45 and 67 basis points in the US and Europe. iTraxx Australia rose 5 and North American bank CDS rose 6, and both remain well inside their March peaks. The widening that Australian dollar desks reported last week was concentrated in crowded positions into quarter end and in French bank paper, where the issue is the sovereign. That is liquidity and country risk. It is not a deterioration in credit quality.

France is a French story

France now pays 23 basis points more than Italy to borrow for ten years

French 10-year yield minus Italian 10-year yield, basis points



Source Refinitiv Datastream, Arculus

The French 10-year has risen 67 basis points in a month and 131 in a year, more than any market in the data set bar Japan. The 2027 budget proposes about €54 billion of measures to move the deficit from 5.4% to 5.0% of GDP and the market has not been persuaded. This is a French story and not a European one. Italy was the periphery a year ago. On this measure France is now.

Energy has not gone away

Kpler estimates Gulf shipments reached 12.5 million barrels a day in the week to 27 September, only about 1 million short of the pre-war baseline, and yet WTI traded at US\$93 on Thursday. The reason is inventories. OECD stocks are down more than 400 million barrels since April and US distillate stocks are at their lowest seasonal level on record. In April we argued that reopening the Strait would not restore supply. Five months on the flows are nearly back and the buffer is not.

We should also mark our own homework. The April note argued that the fertiliser shortfall would lift food prices with a lag of three to nine months. Australian data does not show it so far. Food prices fell 0.1% in the August CPI and ANZ Research sees no second-round effects from energy in the food group. The window remains open, but the evidence to date is energy and not food.

What it means for Australian rates

The Governor's press conference was read as softer than the statement and the August trimmed mean took some heat out of November. We would not lean on that. Lies, damn lies and statistics. The same release that gave the market a soft monthly number also shows the six-month annualised trimmed mean running at almost 4% and more than half the basket rising faster than 3% annualised. The bill market has not relaxed either, with 180-day BBSW at 5.14% and 39 basis points over 90-day.

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